

Apple Inc. (AAPL.US)

Technology · Consumer Electronics
Large Cap (>\$200B) · Report Date: June 26, 2026
Latest financials: Q3 FY2025 · Model data as of 2026-06-26

UNDERWEIGHT

Blended Target: \$170.27

DCF + Comps + Analyst (see cross-check table)

Implied upside: -40.0%

Price (Jun): \$283.78

INVESTMENT HIGHLIGHTS

- **UNDERWEIGHT** — blended target \$170.27 (-40.0% vs \$283.78); Comps 100% (pre-cap \$167.11 -> \$170.27) valuation after outlier checks (audit-capped).
- Strong revenue growth; high operating margins; weak roe; positive fcf generation
- Simon FCFE DCF not used in target (low FCFE yield / growth equity); rely on comps where shown; analyst used only if not stale.

INVESTMENT THESIS / EXECUTIVE SUMMARY

Apple Inc. (AAPL) — Technology. Apple Inc. designs, manufactures, and markets smartphones, personal computers, tablets, wearables, and accessories worldwide. The company offers iPhone, a... **UNDERWEIGHT** rating; blended target \$170.27. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

Item	Value	Item	Value
Market Cap	\$4.17T	Shares Out.	14687.4M
52-Week Range	\$199.26 – \$317.40	P/E (TTM)	34.4x
P/B	39.1x	Beta	1.09
Avg Volume	48.93M	Analyst Rec.	Buy
Revenue (TTM)	\$451.44B	Rev Growth	+16.6%
Op. Margin	32.3%	FCF (TTM)	\$98.77B



FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; E = forecast)

Metric	FY 2024A	FY 2025A	FY 2026E	FY 2027E	FY 2028E
Revenue (\$M)	391,035	416,161	485,244	545,268	596,573
Revenue Growth (%)	N/A	6.4%	16.6%	12.4%	9.4%
Net Income (\$M)	93,736	112,010	130,604	146,759	160,568
Net Income Growth (%)	N/A	19.5%	16.6%	12.4%	9.4%
Gross Margin (%)	46.2%	46.9%	47.9%	47.9%	47.9%
Net Margin (%)	24.0%	26.9%	26.9%	26.9%	26.9%
ROE (%)	164.6%	151.9%	177.1%	180.5%	188.1%
EPS (\$)	6.38	7.63	8.89	9.99	10.93
Book Value / Share (\$)	3.88	5.02	5.02	5.53	5.81
P/E (x)	44.47	37.21	31.91	28.40	25.96
P/B (x)	73.19	56.53	56.53	51.27	48.83
Dividend Yield (%)	39.0%	39.0%	39.0%	39.0%	39.0%

VALUATION CROSS-CHECK

Valuation Method	Implied Price	vs. Current	Weight in Target	Notes
DCF (Simon FCFE)	\$111.93	-60.6%	0% (excluded)	Diverges below other methods (46% of median)
Profile template weights	—	—	—	Standard operating company: DCF 32%, Comps 53%, Analyst 15%
Comps — P/E (peer median)	\$197.87	-30.3%	—	Peer median P/E 24.0x
Comps — EV/EBITDA (peer median)	\$167.11	-41.1%	—	Peer median 17.4x
Comps — P/S (peer median)	\$163.39	-42.4%	—	Peer median P/S 5.3x
Comps — Blended (avg. of available multiples)	\$167.11	-41.1%	100% (pre-cap)	Included in pre-audit blend; final target audit-adjusted
Analyst consensus (Yahoo Finance)	\$315.09	+11.0%	0% (excluded)	Analyst consensus lags / diverges >35% from comps
Blended target (weighted)	\$170.27	-40.0%	100%	Comps 100%; pre-cap \$167.11 -> \$170.27
Audit (≥30% vs price)	—	—	—	Target capped at ±40% vs price (model dispersion)

DCF VALUATION SUMMARY (SIMON FCFE)

Item	Value
Ke (cost of equity)	9.97%
Terminal g	1.50%
FCFE growth	8.30%
Base FCFE	\$98.77B
PV explicit (5Y)	\$494.71B
PV terminal	\$1.15T
Equity value (adj.)	\$1.64T
Implied price	\$111.93
vs. current	-60.6%

INDUSTRY ANALYSIS

1. Industry Overview

Apple Inc. designs, manufactures, and markets smartphones, personal computers, tablets, wearables, and accessories worldwide. The company offers iPhone, a line of smartphones; Mac, a line of personal computers; iPad, a line of multi-purpose tablets; and wearables, home, and accessories comprising AirPods, Apple Vision Pro, Apple TV, Apple Watch, Beats products, and HomePod, as well as Apple...

2. Key Trends

- Strong top-line growth (16.6% YoY)
- High operating leverage (32.3% margin)
- Sector: Technology | Industry: Consumer Electronics

3. Risk Factors

- Standard sector cyclicality and macro exposure

COMPETITOR ANALYSIS

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
MSFT	Microsoft Corporation	\$2.77T	22.2x	14.5x	39.3%	+18.3%
GOOGL	Alphabet Inc.	\$4.12T	25.8x	25.6x	37.9%	+21.8%
HPQ	HP Inc.	\$20.92B	8.5x	6.0x	4.4%	+9.0%
DELL	Dell Technologies Inc.	\$258.13B	31.8x	20.3x	6.3%	+87.5%
AAPL*	Apple Inc.	\$4.17T	34.4x	25.4x	27.2%	+16.6%

* Subject company. Commands premium p/e vs peers; stronger profitability than peers. Strong revenue growth; high operating margins; weak roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.